

# Caterpillar Q2 2025 Earnings

## Blind Sentiment & Directional Score: Financial results only

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### Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score  $\in [-1, +1]$ , directional signal  $\in \{\text{BUY, HOLD, SELL}\}$ , structured summary, evidence quotes.
- **HOLD band:**  $|\text{overnight move}| < 2.00\%$ . Above  $+2.00\%$ , BUY is correct. Below  $-2.00\%$ , SELL is correct.
- **Timing rule:** The company releases BEFORE the market open. The overnight move is defined as  $(\text{release-day Open} \div \text{prior-trading-day Close}) - 1$ , the same reaction window shifted because the release lands before trading starts.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The  $\pm 2.00\%$  band applies to the overnight move only.

### Report metadata

|                 |                                                                            |
|-----------------|----------------------------------------------------------------------------|
| Company         | Caterpillar Inc. (CAT)                                                     |
| Report          | Q2 2025                                                                    |
| Release date    | Tuesday 5 August 2025, BEFORE the market open                              |
| Earnings call   | 8:30am ET                                                                  |
| Source          | <a href="#">Earnings press release</a>                                     |
| Read mode       | cold; reported financial results only, no guidance, no Q&A, no price chart |
| Time to produce | 32 minutes                                                                 |

### Source material (read ONLY this)

#### Headline financials (assigned source: financial results only)

- Sales and revenues \$16.6B, a 1% decrease against \$16.7B a year ago, driven primarily by unfavourable price realisation of \$414M, partly offset by higher sales volume.
- Operating profit \$2.860B, a decrease of \$622M or 18% against \$3.482B. Operating profit margin 17.3% against 20.9%.

- Adjusted operating profit margin 17.6% against 22.4% a year ago.
- Profit per share \$4.62; adjusted profit per share \$4.72.
- Energy and Transportation segment profit \$1.585B, up \$60M or 4%. Unfavourable manufacturing costs largely reflected the impact of higher tariffs.

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**Your scoring: fill in below, then seal**

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## 1 Sentiment score

**Score: −0.15**

*Rationale.* Sales were roughly flat and margins compressed sharply on tariffs and pricing, but Energy and Transportation still grew and the absolute margin remains healthy at 17.3%.

## 2 Directional signal

**Signal: HOLD**

*Rationale.* Weak but not alarming, and the tariff driver is already well understood by the market. HOLD.

## 3 Structured summary

- **What the source shows.** Energy and Transportation grew profit even as the group margin fell.
- **What the source cannot show.** No guide, so cannot see whether management thinks the tariff drag persists.
- **Expectations bar.** A margin decline this well telegraphed is unlikely to surprise in either direction.
- **Conviction.** Low conviction: the print is soft, but for reasons already in the price.

## 4 Evidence quotes

1. Sales and revenues \$16.6B, a 1% decrease against \$16.7B a year ago, driven primarily by unfavourable price realisation of \$414M, partly offset by higher sales volume.
2. Operating profit \$2.860B, a decrease of \$622M or 18% against \$3.482B. Operating profit margin 17.3% against 20.9%.
3. Adjusted operating profit margin 17.6% against 22.4% a year ago.

— **SEALED** —

## Overnight move and call verification

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|                                              |               |
|----------------------------------------------|---------------|
| CAT close, 4 August 2025 (prior trading day) | \$433.70      |
| CAT open, 5 August 2025 (release day)        | \$427.65      |
| <b>Overnight move</b>                        | <b>−1.39%</b> |

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**Call verification**

- HOLD band test:  $|-1.39\%| < 2.00\%$ , inside the band, so HOLD territory.
- Sign test: The move is inside the band, so the correct directional call is **HOLD**.
- Score given vs. correct call: signal was **HOLD**, correct call **HOLD**, so **CORRECT**.

**Horizon returns (pre-registered)**

*For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.*

| Horizon                            | Return         |
|------------------------------------|----------------|
| Overnight (baseline for the label) | − <b>1.39%</b> |
| D+1 close                          | +0.12%         |
| D+3 close                          | −3.82%         |
| D+5 close                          | −5.80%         |
| D+10 close                         | −4.86%         |
| D+20 close                         | −4.07%         |